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**Study Notes**

# **Leadership – Leadership Styles**

### LEADERSHIP

Leadership is a process by which an executive can direct, guide and influence the behaviour and work of others towards accomplishment of specific goals in a given situation. Leadership is the capacity to influence a group towards the realization of a goal. Leaders are required to develop future visions, and to motivate the organizational members to want to achieve the visions.

Leadership is situation bound. There is no best style of leadership. It all depends upon tackling with the situations. Leadership is an important function of management which helps to maximize efficiency and to achieve organizational goals.

#### The Tasks of a Leader

- a. **Initiating action-** Leader puts in motion the work by communicating the policies and plans to the subordinates and initiating action.
- b. **Motivating subordinates and creating confidence in the organisation –**
  - Motivation of subordinates through **economic and non-economic rewards** to get the work done in most efficient manner
  - Explain the roles of the subordinates clearly
  - Hear the employees with regards to their complaints and problems, thereby creating trust and confidence in the organisation
- c. **Providing guidance and building morale**
  - Guidance to the subordinates
  - Instructing the subordinates the way they have to perform their work effectively and efficiently
  - Morale booster by achieving full co-operation from subordinates. In this regard, a leader has to invite suggestions and if possible implement them into plans and programmes of enterprise. This way, he can solicit full support of employees which results in willingness to work and thereby effectiveness in running of a concern.
- d. **Achieving co-ordination**
  - By reconciling/integrating personal interests with organizational goals.
  - Synchronization can be achieved through proper and effective co-ordination
- e. **Representing the organization-**
  - Representative of the enterprise at seminars, conferences, general meetings, etc. His role is to communicate the rationale of the enterprise to outside public.
  - He is also representative of the own department or team which he leads.

### Leadership Styles

#### Autocratic or Authoritarian leadership

An autocratic leader centralizes power and decision-making in himself. He gives orders, assigns tasks and duties without consulting the employees. The leader takes full authority and assumes full responsibility. Subordinates act as he directs. He neither cares for their opinions nor permits them to influence the decision. He believes that because of his authority he alone can decide what is best in a given situation.

Autocratic leadership is based upon close supervision, clear-cut direction and commanding order of the superior. It facilitates quick decisions, prompt action and unity of direction. It depends on a lesser degree of delegation. But too much use of authority might result in strikes and industrial disputes. It is likely to produce frustration and retard the growth of the capacity of employees. Autocratic leadership is negative, based on threats and punishment. The employees work as hard as is necessary to avoid punishment. They will thus produce the minimum which will escape punishment.

This leadership style is less likely to be effective because:

- the new generation is more independent and less submissive and not amenable to rigid control;
- people look for ego satisfactions from their jobs and
- revolution of rising expectations changed the attitude of the people.

However, it will be advantageous and suitable when employees require close supervision, job is monotonous, unskilled and routine in nature or where the project is short-term and risky.

Autocratic leadership may be divided into three classes:

- a) The **hard-boiled autocrat** who relies mainly on negative influences uses the force of fear and punishment in directing his subordinates towards the organisational goals. This is likely to result in employees becoming resentful.
- b) The **benevolent autocrat** who relies mainly on positive influences uses the reward and incentives in directing his subordinates towards the organisational goals. By using praise and pats on the back he secures the loyalty of subordinates who accept his decisions.
- c) The **manipulative autocrat** who makes the employees feel that they are participating in decision-making though the manager himself has taken the decision. McGregor labels this style as Theory X.

#### Democratic or Participative leadership

Participative or democratic leaders decentralise authority. It is characterised by consultation with the subordinates and their participation in the formulation of plans and policies. He encourages participation in decision-making.

He leads the subordinates mainly through persuasion and example rather than fear and force. Sometimes the leader serves as a moderator of the ideas and suggestions from his group. McGregor labels this style as Theory Y.

Taylor's scientific management was based on the inability of the ordinary employees to make effective decisions about their work. Hence the decision-making power was vested with the management. But recent studies indicate the need for participation by subordinates. The modern trend favours sharing the responsibility with the employees. This will foster enthusiasm in them. The employees feel that management is interested in them as well as in their ideas and suggestions. They will, therefore, place their suggestions for improvement.

Advantages for democratic leadership are as follows:

- higher motivation and improved morale;
- increased co-operation with the management;
- improved job performance;
- reduction of grievances
- reduction of absenteeism and employee turnover.

However, the disadvantage of this style is that it is time consuming and may lead to delays in decision making.

### **The Laissez-faire or Free-rein leadership**

Free-rein leaders avoid power and responsibility. The laissez-faire or non-interfering type of leader passes on the responsibility for decision-making to his subordinates and takes a minimum of initiative in administration. He gives no direction and allows the group to establish its own goals and work out its own problems.

The leader plays only a minor role. His idea is that each member of the group when left to himself will put forth his best effort and the maximum results can be achieved in this way. The leader acts as an umpire. But as no direction or control is exercised over the people, the organisation is likely to flounder.

### **Bureaucratic Leadership**

In this style the leaders strictly adhere to the organizational rules and policies and make sure that the employees also strictly follow the rules and procedures.

This leadership style is more suitable when safe work conditions and quality are required. It discourages creativity and does not make employees self-contented.

This style is mostly prevalent in public or government sector entities.

### **Paternalistic leadership**

Under this management style the leader assumes that his function is fatherly or paternal. Paternalism means papa knows best. The relationship between the leader and his group is the same as the relationship between the head of the family and the members of the family. The leader guides and protects his subordinates as members of his family.

As the head of the family he provides his subordinates with good working conditions and fringe benefits. It is assumed that workers will work harder out of gratitude. This leadership style was admirably successful in Japan with her peculiar social background.

This leadership style has still been widely prevalent in small firms in India. However, this paternalistic approach is unlikely to work with mature adult employees, many of whom do not like their interests to be looked after by a “godfather.” Instead of gratitude, it might generate antagonism and resentment in the subordinates.

An experiment conducted among Boy Scout Clubs of the USA in 1940 showed that autocratic leadership is likely to rouse antagonism in the group and produce hostility towards the leader. In democratic groups, the absence of the leader made little difference, while in autocratic groups productive work dropped to a minimum, when the leader was out of the room.

Democratic leadership is more likely to win the loyalty of the group. The laissez-faire groups also developed friendly approaches to the leader as in the democratic group. But suggestions from the groups were very low and they were also less productive.

### Transactional and Transformational Leadership

Over the years with the evolution of leadership, leadership has been described as transactional or transformational.

#### Transactional Leadership

- Transactional leaders focus on managing and supervising their employees and on group performance. The role of a transactional leader is primarily passive, in that it sets policy and assessment criteria and then intervenes only in the event of performance problems or needs for exceptions. As such, they follow the ‘Management by Exception’ style.
- Transactional leaders promote success through the use of both rewards and punishments contingent on performance. They look at leader-subordinate relation as a transaction in which the leader focuses on task and outcome and in return provide extrinsic motivations to the subordinates.
- Transactional leaders work within existing organizational structures and shape their work according to the current organizational culture.

Transactional leadership is especially effective under strict time and resource constraints and in highly specified projects, this approach adheres to the status quo and employs a form of management that pays close attention to how employees perform their tasks.

#### Transformational Leadership

Transformational leadership focuses on increasing employee motivation and engagement and attempts to link employees’ sense of self with organizational values.

- This leadership style emphasizes leading by example, so followers can identify with the leader’s vision and values.

- A transformational approach focuses on individual strengths and weaknesses of employees and on enhancing their capabilities and their commitment to organizational goals, often by seeking their buy-in for decisions.
- Transformational leaders challenge followers with an attractive vision and tie that vision to a strategy for its achievement. They engage and motivate followers to identify with the organization 's goals and values.
- Transformational leadership comprises four types of behavior - individualized consideration, intellectual stimulation, inspirational motivation, and idealized influence.

Transactional and transformational leadership are not mutually exclusive, and leaders often demonstrate traits associated with both approaches. Depending on the objectives and the situation, a leader may move from using one approach to the other as needed.

**Note** – refer to the *Leadership theories for more details on Transformation leadership theory by Burns and Bass*

### Some other Leadership Styles

#### Charismatic Leadership

- Influence others by personality
- Have great articulation and communication skills
- Appeal to the emotions of the followers by showing empathy and sensitivity to other's needs
- Can motivate large groups
- Are visionaries and emphasize on working towards greater good
- Can get autocratic
- Totally leader dependent and difficult to find successors
- E.g. Mahatma Gandhi

#### Shared leadership

- Involves multiple leaders. Occurs when managers and subordinates work together with an emphasis on equal sharing of information and participation
- It involves sharing of power so that members can take leadership in areas of their proficiency

#### Servant Leadership

- This term was given by Robert Greenleaf in 1970
- The leader focuses more on the needs of followers/subordinates as compared to his own. The leaders have trust and confidence in the team members
- The leader serves his followers

#### Creative leadership

- It involves developing and fostering innovative ideas
- The enterprise is built on creativity of the people. Creative leaders are not satisfied with the existing solutions and try to better them through creativity and ideas.

### Six emotional Leadership Styles

**Given by** - Daniel Goleman, Richard Boyatzis, and Annie McKee (in book Primal Leadership)

- a) **The Visionary Leader** moves people towards a shared vision, telling them where to go but not how to get there. They openly share information.
- b) **The Coaching Leader** connects personal goals to organizational goals, holding long conversations that reach beyond the workplace, helping people find strengths and weaknesses and tying these to career aspirations and actions.
- c) **The Affiliative Leader** creates people connections and thus harmony within the organization. It is a very collaborative style, which focuses on emotional needs over work needs.
- d) **The Democratic Leader** acts to value inputs and commitment through participation, listening to both the bad and the good news.
- e) **The Pace-setting Leader** builds challenge and exciting goals for people, expecting excellence and often exemplifying it themselves. They identify poor performers and demand more of them.
- f) **The Commanding Leader** soothes fears and gives clear directions by their powerful stance, commanding and expecting full compliance (agreement is not needed). They need emotional self-control for success and can seem cold and distant.

### Effective Leader

An effective leader is one who meets the job requirements, team requirements as well as individual requirements.

In addition to being intelligent, self-confident, technically skilled and knowledgeable with good communication skills, a leader should possess the following soft skills to be effective:

#### Strength of character

- It defines who they are, what they will do, what they would not do, and what they stand for
- Deep-rooted value system, ethical, ability to withstand pressure, commitment, honesty, resourcefulness, determination, feeling of responsibility and accountability, judgment, etc.

#### Vision

- Ability to be a visionary and have a sense of future possibilities
- not threatened by the future and can show pathways to the future which the followers can follow
- have innovative, rational, credible, clear, motivating ideas

#### Relationship effectiveness

- Management is all about people and the relationships that one builds with those whom one encounters
- Does not mean that the leader should be a people pleaser, but he should be able to nurture and incubate relationships in a way that has a positive influence on the organisation.
- Provides work-life balance, encourages questions and ideas from subordinates, facilitates brain-storming, has empathy, grows subordinates professionally, etc.



Leadership Styles – Summary

| Style                   | Also called                                 | Features                                                                                                                                                                                                                                       | Advantages                                                                                                                                                                                                       | Disadvantages                                                                                                                                                                                      |
|-------------------------|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Autocratic</b>       | Authoritarian;<br>Directive;<br>Nomothetic  | Centralised/ unilateral decision making with the leader; Complete structuring of the work is done for the subordinates by the leader                                                                                                           | Suitable when employees require close supervision, job is monotonous, unskilled and routine in nature or where the project is short-term and risky                                                               | Creative employees who thrive in group functions detest this leadership style and may lead to greater employee absenteeism and turnover                                                            |
| <b>Participative</b>    | Democratic;<br>Consultative;<br>Ideographic | Decisions are made by the leader in consultation with subordinates thereby leading to mental and emotional involvement of a person in group situations                                                                                         | Boosts employee morale as employees participate in decision-making process; Helpful in acceptance of change by employees                                                                                         | It is time consuming                                                                                                                                                                               |
| <b>Laissez-faire</b>    | Free-rein                                   | Complete freedom to subordinates; Policy determined by leader while process left to subordinates; No regular feedback given to subordinates                                                                                                    | Helps subordinates to develop independent personality; Suitable for highly experienced and trained employees requiring little supervision                                                                        | Produces no leadership or supervision efforts from managers, which can lead to poor production, lack of control and increasing costs                                                               |
| <b>Bureaucratic</b>     |                                             | Leaders strictly adhere to the organizational rules and policies and make sure that the employees also strictly follow the rules and procedures.                                                                                               | This leadership style is more suitable when safe work conditions and quality are required                                                                                                                        | Discourages creativity and does not make employees self-contented.                                                                                                                                 |
| <b>Transactional</b>    | Managerial;<br>Telling style of leadership  | Managers and team members set predetermined goals together, and employees agree to follow the direction and leadership of the manager to accomplish those goals. The leader believes in motivating through a system of rewards and punishment. | Suitable when the organizational problems are simple and clearly defined. The exchange between leader and follower takes place to achieve routine performance goals                                              | The transactional leaders overemphasize detailed and short-term goals, and standard rules and procedures. They do not make an effort to enhance followers' creativity and generation of new ideas. |
| <b>Transformational</b> | Quiet Leaders                               | Leaders <b>focus on the big picture</b> within an organization and delegate smaller tasks to the team to accomplish goals; Such leaders lead by example; they use rapport, inspiration, or empathy to engage followers                         | Leaders motivate employees and enhance productivity and efficiency through communication and high visibility; Maximizes teams' capability and capacity; good at balancing short-term visions and long term goals | It requires a very well organised team and requires their followers to be creative and is thus, bad fit in a bureaucratic structure; ineffective in initial stage or ad-hoc situations             |



**Difference between a successful and an effective Leader**

| <u>Successful Leader</u>                                                             | <u>Effective Leader</u>                                 |
|--------------------------------------------------------------------------------------|---------------------------------------------------------|
| Uses position power                                                                  | Uses personal power                                     |
| Have short-term influence on others                                                  | Have long term influence over others                    |
| Leader mainly changes the behaviours of the subordinates                             | Leader changes the attitudes of the subordinates        |
| A successful leader is not necessarily effective                                     | An effective leader generally is successful             |
| According to Fred Luthans, successful leaders are more focused on staying at the top | Effective leader focus more on managing people and team |